Note also that contrary to popular perception, the law imposes no term limit; in theory, it is possible therefore for someone to serve as governor for life. There were several governors, especially in the early years after the Reserve Bank was established in 1934, who served longer than five years. James Taylor, the second governor (1937–43), served for nearly six years, and C.D. Deshmukh, the third governor (1943–49) for close to seven years. Benegal Rama Rau (1949–57), who succeeded Deshmukh, had the longest tenure—nearly eight years.

Most governors served out their terms of appointment although there were a few exceptions. L.K. Jha (1967–70) resigned when he was appointed India's ambassador to the United States. K.R. Puri (1975–77) relinquished office midway through his term when the Janata government came into office post-emergency. Manmohan Singh (1982–85) resigned when he was appointed by Rajiv Gandhi as deputy chairman of the now-defunct Planning Commission, while Bimal Jalan (1997–2003) resigned a few months before the expiry of his term when he was nominated to the Rajya Sabha.

Two governors resigned in protest and therein lie two interesting tales.

Sir Osborne Smith, the first governor of the Reserve Bank (1935–37), was an Australian national and remains the only professional banker to date to have been appointed to this high office. His tenure came at an interesting political-economy juncture in our history when the colonial administration seemed open to yielding to greater self-rule. Top officials in the British Indian bureaucracy, already irked by this impending power shift, were upset by the Reserve Bank of India Act which, far from making the governor play 'second fiddle' to the government, had in fact, made him all too powerful.

Percy Grigg, the then finance member in the government, was particularly upset with Governor Smith's working style and had serious differences with him on monetary policy issues, especially on lowering the bank rate. Their relationship deteriorated so much that while Smith, then only an year into his office, said he was 'sick to death' by the government's desperation to dominate the Reserve Bank, Grigg started suggesting that the governor was acting in unison with 'devaluationists and currency speculators'. The already antagonistic relationship took an ugly turn when